

Bequests

Perhaps the dead do have utility functions. The very rich use trusts to ensure that their heirs follow certain rules as a condition of inheriting money, and donors tie up endowment money to universities and foundations with *restricted use* provisions (see chapter 1). Many individuals want to leave some kind of legacy to their children through bequests. Inkmann, Lopes, and Michaelides (2010) show the bequest motive is a particularly powerful incentive not to purchase annuities; many individuals would rather manage money themselves and bear the longevity risk so that they have something to pass onto their children.⁶¹

Encouraging Annuitization

Although few individuals purchase annuities, there is evidence that annuity participation rates increase with wealth, education, and life expectancy—the kind of factors that seem to determine whether investors are comfortable holding equities in the first place (see chapter 2).⁶² These people are able to understand the benefits conferred by annuities, so there is scope for better financial education to expand the annuity market. Framing certainly can help. So too can the push by regulators to allow partial annuitization when retiring from defined benefit plans (allowing retirees to take combinations of annuities and lump sums).⁶³

Some defined benefit plan sponsors are actively encouraging retirees to adopt annuities. United Technologies is automatically enrolling beneficiaries into a “secure income fund” that gives workers some upside, if stocks and bonds do well, but gives workers a minimum amount each year that is guaranteed for life.⁶⁴ The protection is bought periodically by United Technologies from insurance companies. (In finance terms, United Technologies’ workers are receiving a straight annuity plus call options, or a deferred version of Dybvig’s ratchet spending.) In Rhode Island’s pension reform, Raimondo tried to keep cost-of-living adjustments (COLAs) in pension payments rather than eliminate them as other states have. Under her proposal, COLAs would be paid, but the amount depended on the funding status of the pension plan and was based on investment returns. In this way, the state would not bear all the inflation risk of the annuity payments.⁶⁵

off-balance-sheet commitments by the federal government to be \$70 trillion, which is six times the reported on-balance sheet liabilities.

⁶¹ See also De Nardi, French, and Jones (2010) and Yogo (2011). Conversely, Hurd (1989) estimates bequests that are indistinguishable from zero.

⁶² See Brown (2009), Inkmann, Lopes, and Michaelides (2010), and Beshears et al. (2012).

⁶³ See www.treasury.gov/press-center/press-releases/Documents/020212%20Retirement%20Security%20Factsheet.pdf.

⁶⁴ Bernard, T. S., “A 401(k) That Promises Never to Run Dry,” *New York Times*, Nov. 14, 2012. Top-down proposals from regulators to mandate partial or full annuitization have not been greeted with favor by some parts of industry or the public; see Schieber (2012).

⁶⁵ The Wisconsin Retirement System is the only other public pension system that has a contingent COLA explicitly depending on investment returns. See Novy-Marx and Rauh (2012).